

# Document Potential Challenges in Cross-Chain Rights Management

These challenges have been systematically derived from the literature spanning 2020 to 2025, real-world bridge incidents, regulatory reports, and the gap analysis (G1–G7). They constitute the known and anticipated obstacles that this paper must explicitly recognize and address.

Table 1: Potential Challenges — Description and Severity

| ID  | Challenge                | Description & Evidence (2023–2025)                                                                                                                                                                                                                                     | Severity    |
|-----|--------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|
| C1  | XCM Weight & Latency     | The execution weight of XCM is non-deterministic across parachains; benchmarks from 2025 indicate a variance ranging from 300 milliseconds to 4 seconds for the same message type, depending on relay-chain congestion.                                                | High        |
| C2  | Bridge Risks             | During 2024–2025, over \$2.1 billion was lost due to bridge exploits (Chainalysis, 2025); lightweight client verification remains costly or underdeveloped for certain blockchain networks.                                                                            | Critical    |
| C3  | Metadata vs. XCM Limits  | The current XCM has practical payload limitations of approximately 2 to 4 KB per message; elaborate rights expressions, such as LCC metadata, collaborator lists, and geo-rules, readily surpass this threshold.                                                       | Medium–High |
| C4  | Time-Clock Heterogeneity | Different blockchain networks exhibit varying block times and guarantees of finality, such as Ethereum approximately 12 seconds, Solana around 400 milliseconds, and Polkadot between 6 to 12 seconds.                                                                 | Medium      |
| C5  | Royalty Split Atomicity  | Currently, it is not feasible to send royalties to 5–20 collaborators across different chains within a single transaction without utilizing multi-step bridges.                                                                                                        | Medium      |
| C6  | Regulatory Divergence    | The European Union (2026 MiCA), the United States (SEC proposals for 2025–2026), and China each have distinct approaches to the regulation of tokenized content rights; additionally, certain jurisdictions may categorize specific subscription tokens as securities. | Growing     |
| C7  | Oracle Dependency        | Subscription auto-renewal, price feeds, or geo-restrictions may require off-chain data such as fiat payment detection and GPS information.                                                                                                                             | Medium      |
| C8  | Wallet Fragmentation     | End users may maintain wallets across multiple blockchains, such as MetaMask, Polkadot.js, and Keplr; however, seamless cross-chain signing remains inadequate in 2025.                                                                                                | Medium      |
| C9  | Coretime Cost Volatility | Agile Coretime (launched in 2025) introduced market-based pricing; fluctuations during periods of high demand can render dedicated parachains economically unviable.                                                                                                   | Medium      |
| C10 | Finality Rollbacks       | Polkadot can, in theory, reverse blocks (BABE/GRANDPA); an occurrence that is exceedingly rare yet conceivable.                                                                                                                                                        | Low–Medium  |

Table 2: Potential Challenges — Impact and Mitigation

| ID  | Likely Impact on This Project                                                    | Primary Mitigation Strategy (already planned)                                                                                                                                                         |
|-----|----------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| C1  | Subscription renewals or PPV counters could be delayed or fail during peak load. | Over-reserve weight + scheduled locations (XCM v5); fallback to on-demand parachain if needed.                                                                                                        |
| C2  | Permanent loss of rights tokens when moving to/from Ethereum or Cosmos.          | Use only trust-minimized, battle-tested bridges (Snowbridge, Hyperbridge); keep core rights on Polkadot-native parachains; external chains treated as “secondary distribution” only.                  |
| C3  | Truncation or splitting of rights metadata → inconsistent policy across chains.  | Split into mandatory core fields (on-chain) + optional extended metadata stored via on-chain hash + IPFS/SubQuery reference.                                                                          |
| C4  | Subscription expiry or PPV time windows interpreted differently across chains.   | Use absolute Unix timestamps + relay-chain block number as source of truth; all time-based logic references Polkadot time.                                                                            |
| C5  | Delayed or failed collaborator payouts → legal/trust issues.                     | Two-phase design: (1) collect all royalties in a parachain treasury, (2) batch XCM payouts every N blocks with failure refund.                                                                        |
| C6  | Future system blocking in major markets or mandatory KYC.                        | Optional ZK compliance layer (RO5) + modular policy flags that platforms can enable per jurisdiction.                                                                                                 |
| C7  | Single-point compromise or latency.                                              | Minimise: use only decentralized oracles, such as Chainlink or DIA, and design the system to maintain functionality in “oracle-failure degrade mode” by pausing renewals rather than revoking access. |
| C8  | High friction → low adoption.                                                    | Progressive WebApp + embedded account abstraction (via Polkadot’s upcoming nomination pools + proxy accounts) to hide chain complexity from users.                                                    |
| C9  | Sudden cost increase for the rights-management parachain.                        | Initiate on-demand core time; upgrade to a dedicated slot only after demonstrating revenue. Design the system to operate on any Substrate chain, if required.                                         |
| C10 | Subscription or ownership could be reversed in edge cases.                       | Accept the same risk level as holding DOT or any Polkadot asset; no higher risk than existing parachains.                                                                                             |

Notwithstanding the potential challenges, based on the latest developments within the Polkadot ecosystem as of November 2025, I am confident that this project is entirely feasible to develop. The core technologies described—XCM for cross-chain communication, ink! for smart contracts, and parachain-based scalability—are not only mature but also actively progressing to support a content rights management service featuring subscription, pay-per-view, and purchase models.

This constitutes the rationale for its favorable decision.

- **Cross-Chain Foundations Are Solid:** Polkadot’s 2025 roadmap emphasizes XCM v5 upgrades for improved cross-chain communication, including enhanced asset transfers and remote execution, which align precisely with seamless rights transfers across networks such as Ethereum or Cosmos. Bridges like Snowbridge (for Ethereum compatibility) are trust-minimized and ready for production, thereby reducing risks associated with hybrid models. Real-world examples, such as composable NFTs via XCM in projects like Unique Network, already demonstrate the feasibility of tokenized ownership and

subscriptions.

- **Smart Contract and Scalability Readiness:** ink! (now with PolkaVM for faster execution) supports the type of unified rights tokens as described, with Ethereum-compatible features scheduled for rollout in the 2025 upgrades, including Elastic Scaling and more Rapid Blocks. Parachains and Agile Coretime facilitate high transaction per second (TPS) rates, ranging from 500 to over 1,000, without the congestion commonly observed in single-chain alternatives. This configuration is particularly suitable for micro-transactions within the PPV framework.
- **Ecosystem Momentum:** The Polkadot ecosystem is experiencing significant growth in 2025, with more than 115 chains interoperating through protocols such as IBC (version 2 launched in March 2025), and increasing adoption in Non-Fungible Tokens (NFTs) and Web3 content, including gaming and metaverse integrations. Events such as TechCrunch Disrupt 2025 underscore Polkadot's expanding influence in practical applications. Additionally, tools like the JAM Rust SDK facilitate the development of custom extensions tailored for specific content-related logic.

Potential challenges, such as bridge security and regulatory compliance, are acknowledged; however, these can be effectively managed through mitigation strategies, including zero-knowledge proofs and over-reserved weights. Considering the current developments within Polkadot—such as the Q3 2025 DAO advancements and the forthcoming Hub launch scheduled for mid-December—this project could be prototyped within several weeks.